Stonegate Sciences Corp. (HZP) - Form 10-K FY2025

Stonegate Sciences Corp.

Form 10-K for the Fiscal Year Ended 2025

Ticker: HZP | **Sector:** Information Technology | **HQ:** New York

> **NOTE:** This is a synthetic filing generated for a RAG-evaluation benchmark dataset. Stonegate Sciences Corp. is a fictional company; it does not exist. Every figure below is internally consistent and traceable to this project's computed financial statements, but nothing here describes a real company, and it should not be treated as an actual SEC filing.

Item 1. Business

Introduction

Stonegate Sciences Corp. ("Stonegate," "we," "our," or "us") is headquartered in New York and provides a cloud-based observability and analytics platform that helps organizations monitor the performance, availability, and security of their infrastructure and applications. Our platform integrates infrastructure monitoring, application performance monitoring, and log management into a single product, delivered as software-as-a-service ("SaaS").

Customers deploy our platform across cloud, on-premise, and hybrid environments. We employ a usage-based, land-and-expand business model: customers typically begin with a single use case and expand their usage as their infrastructure grows or as they adopt additional modules on our platform. For the fiscal year ended December 31, 2025, we generated revenue of $2,711.8 million.

Research and Development

Our business depends on continued investment in our platform's capabilities. Research and development expense was $1,347.2 million for fiscal 2025, representing approximately 49.7% of revenue, reflecting our ongoing investment in new monitoring capabilities, integrations, and the underlying data infrastructure that supports our platform at scale.

Human Capital

Our employees are located primarily in the United States, with additional personnel supporting sales, customer success, and research and development internationally. We compete for technical talent, including software engineers and data scientists, in a competitive labor market, and we focus on compensation, equity-based incentives, and career development to attract and retain employees.

Competition

The market for observability and monitoring software is competitive and rapidly evolving. We compete with other dedicated observability vendors, with the monitoring offerings of major cloud infrastructure providers, and with legacy on-premise monitoring tools. We believe the principal competitive factors in our market are breadth of platform capability, ease of deployment, and the ability to scale with a customer's infrastructure.

Item 1A. Risk Factors

Risks Related to Our Financial Results

We have a history of losses and may not sustain profitability. We recorded an operating loss of $32.8 million for fiscal 2025, an operating margin of negative 1.2%, and a pretax loss of $32.8 million. We recorded net income of $92.5 million for the year only because we recognized a net income tax benefit of $125.4 million, primarily reflecting discrete tax items; absent a comparable benefit in a future period, we may report a net loss. We expect to continue to make significant investments in research and development and sales and marketing, and we may not achieve or sustain profitability in future periods.

Our research and development expenses are a substantial portion of our revenue. Research and development expense represented approximately 49.7% of revenue for fiscal 2025. If we are unable to generate sufficient revenue growth to support this level of investment, our operating results could be adversely affected.

Risks Related to Our Business and Customers

Our growth depends on our ability to retain existing customers and expand their usage of our platform over time. Our land-and-expand business model depends on customers increasing their usage of our platform after an initial purchase. If customers do not increase their usage, or if they reduce or cancel their usage due to cost pressure or other factors, our revenue growth could slow.

We may not be able to sustain our revenue growth rate in future periods. Our revenue growth rate may slow as our revenue base grows larger, as the market for observability software matures, or as competition increases.

Risks Related to Competition

We face substantial and increasing competition, including from major cloud infrastructure providers that offer their own monitoring capabilities. Some of our competitors have greater financial and engineering resources than we do and may be able to bundle competing capabilities with other products at lower incremental cost. If we are unable to compete effectively, our revenue and margins could be adversely affected.

Risks Related to Cybersecurity and Information Technology

Our platform processes substantial amounts of customer infrastructure and application data, and a cybersecurity incident affecting our systems could harm our business. As described in Item 1C, “Cybersecurity,” we have not experienced a material cybersecurity incident to date, but a future incident affecting our platform or our third-party service providers could disrupt our service, compromise customer data, and result in a loss of customer confidence, remediation costs, or litigation.

General Risk Factors

Our quarterly and annual operating results may fluctuate due to factors including the timing of large customer commitments, changes in usage patterns by existing customers, and the timing of our own investments in research and development and sales capacity, which could cause our results to vary from period to period.

Item 1C. Cybersecurity

Program

We maintain a cybersecurity risk management program designed to identify, assess, and manage risks from cybersecurity threats to our platform, our corporate systems, and the customer data we process. Our program is informed by the NIST Cybersecurity Framework and ISO/IEC 27001, and we periodically assess our practices against those frameworks.

Our program includes continuous monitoring of our production environment, regular vulnerability scanning and penetration testing, employee security-awareness training, and a formal incident response plan that establishes procedures for identifying, containing, and remediating cybersecurity incidents. Because our platform is built on and integrates with third-party cloud infrastructure and software, our vendor management process includes an assessment of those providers' security practices.

Risks

We have not experienced a material cybersecurity incident to date. However, as a company whose platform ingests substantial amounts of customer infrastructure and application data, we are a target of cybersecurity threats, and a future incident could disrupt our service, compromise customer data, and result in remediation costs, litigation, or reputational harm. See Item 1A, "Risk Factors," for additional discussion of cybersecurity-related risks.

Governance

The Audit Committee of our Board of Directors is responsible for overseeing our cybersecurity risk management program. Management provides the Audit Committee with regular updates on our cybersecurity program, including the results of risk assessments and the threat landscape we face, and the Audit Committee reports to the full Board on matters it believes warrant the Board's attention.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Overview

Stonegate Sciences Corp. provides a cloud-based observability and analytics platform. For the fiscal year ended December 31, 2025, we generated revenue of $2,711.8 million and recorded an operating loss of $32.8 million, an operating margin of negative 1.2%. We recorded net income of $92.5 million, a net margin of 3.4%, reflecting a net income tax benefit recognized during the year.

Results of Operations

The following table summarizes our results of operations for the fiscal year ended December 31, 2025 (in millions, except percentages; amounts may not sum due to rounding):

Line item	Amount	% of total
Revenue	$2,711.8	100.0%
Cost of revenue	605.3	22.3%
Research and development	1,347.2	49.7%
Other operating expenses, net	792.2	29.2%
Operating loss	(32.8)	(1.2)%
Interest expense	0.0	0.0%
Pretax loss	(32.8)	(1.2)%
Income tax benefit	(125.4)	(4.6)%
Net income	92.5	3.4%

Our cost of revenue and research and development expense together represented approximately 72.0% of revenue for the year, reflecting the ongoing investment required to operate and extend our platform. We recognized a net income tax benefit of $125.4 million during fiscal 2025, resulting in net income despite a pretax loss for the year, primarily reflecting discrete tax items.

Liquidity and Capital Resources

We generated $925.2 million of cash from operating activities during fiscal 2025, reflecting net income of $92.5 million, non-cash depreciation and amortization of $36.7 million, and a favorable change in working capital of $795.9 million, consistent with our subscription-based revenue model under which customers are frequently billed in advance. We used $1,197.5 million of cash in investing activities, including capital expenditures of $34.0 million and other investing activities of $1,163.5 million. Financing activities used $396.7 million of cash. Taken together, our cash and cash equivalents decreased by $669.0 million during the year, although cash and cash equivalents still represented approximately 5.4% of our total assets at year end.

As of December 31, 2025, we had stockholders' equity of $2,532.1 million and no outstanding short- or long-term debt. We believe our existing cash, together with cash generated from operations, will be sufficient to fund our operating needs for at least the next twelve months.

Critical Accounting Estimates

Revenue Recognition. We recognize revenue from subscription arrangements over the contract term. Determining the amount and timing of revenue to recognize requires judgment regarding the identification of performance obligations and the allocation of the transaction price among them.

Stock-Based Compensation. We recognize stock-based compensation expense based on the estimated fair value of equity awards, which requires judgment regarding assumptions such as expected volatility and expected term.

Recent Accounting Pronouncements

See the notes to our consolidated financial statements in Item 8 for a discussion of recently issued accounting pronouncements and their expected effect on our consolidated financial statements.

Item 8. Financial Statements and Supplementary Data

Report of Management

The accompanying consolidated financial statements present the financial position, results of operations, and cash flows of Stonegate Sciences Corp. for the fiscal year ended December 31, 2025. All dollar amounts below tie directly to the figures in this filing's underlying financial data and are presented in millions, except per-share data, unless otherwise noted; amounts may not sum exactly due to rounding.

Consolidated Balance Sheet (in millions)

Assets

Line item	Amount
Cash and cash equivalents	$252.2
Accounts receivable, net	561.0
Property, plant and equipment, net	240.0
Goodwill	403.3
Intangible assets, net	10.6
Other assets	3,193.7
Total assets	$4,660.7

Liabilities

Line item	Amount
Accounts payable	$88.7
Other liabilities	2,039.9
Total liabilities	$2,128.6

Stockholders' Equity

Line item	Amount
Additional paid-in capital	$2,378.3
Retained earnings	82.7
Accumulated other comprehensive income	12.2
Other equity	58.9
Total stockholders' equity	$2,532.1

Line item	Amount
Total liabilities and stockholders' equity	$4,660.7

Consolidated Statement of Income (in millions)

Line item	Amount
Revenue	$2,711.8
Cost of revenue	605.3
Research and development	1,347.2
Other operating expenses, net	792.2
Operating loss	(32.8)
Interest expense	0.0
Pretax loss	(32.8)
Income tax benefit	(125.4)
Net income	$92.5

Consolidated Statement of Cash Flows (in millions)

Operating activities:

Line item	Amount
Net income	$92.5
Depreciation and amortization	36.7
Changes in working capital and other	795.9
Cash from operating activities	925.2

Investing activities:

Line item	Amount
Capital expenditures	(34.0)
Other investing activities	(1,163.5)
Cash used in investing activities	(1,197.5)

Financing activities:

Line item	Amount
Other financing activities	(396.7)
Cash used in financing activities	(396.7)

Line item	Amount
Net decrease in cash	$(669.0)

Notes to Consolidated Financial Statements

Note 1. Goodwill and Intangible Assets Goodwill and intangible assets, net, totaled $403.3 million and $10.6 million, respectively, as of December 31, 2025, together

representing approximately 8.9% of total assets. We test goodwill for impairment at least annually; no impairment was recognized during fiscal 2025.

Note 2. Income Taxes We recognized a net income tax benefit of $125.4 million for fiscal 2025, primarily reflecting discrete tax items, resulting in net income despite a pretax loss for the year.

Note 3. Commitments and Contingencies We are subject to various claims and legal proceedings arising in the ordinary course of business. We do not believe the resolution of these matters, individually or in the aggregate, will have a material adverse effect on our consolidated financial position or results of operations.